higher-value-added goods. But it also needs to take decisive action now so that it can be ready to take advantage of these forces. The United States must improve the capabilities of its workforce, preserve an environment for innovation, and regulate finance better so as to prevent excess.

None of this will be easy, of course. Consider how hard it is to improve the match between skills and jobs. Since the housing and financial sectors will not employ the numbers they did during the pre-crisis credit boom any time soon, people who worked in, or depended on, those sectors will have to change careers. That takes time and is not always possible; the housing industry, in particular, employed many low-skilled workers, who are hard to place. Government programmes aimed at skill building have a checkered history. Even government attempts to help students finance their educations have not always worked; some predatory private colleges have lured students with access to government financing into expensive degrees that have little value in the job market. Instead, much of the initiative has to come from people themselves.

That is not to say that Washington should be passive. Although educational reform and universal health care are long overdue, it can do more on other fronts. More information on job prospects in various career tracks, along with better counselling about educational and training programmes, can help people make better decisions before they enrol in expensive but useless programmes. In areas with high youth unemployment, subsidies for firms to hire first-time young workers may get youth into the labour force and help them understand what it takes to hold a job. The government could support older unemployed workers more – paying for child care and training – so that they can retrain even while looking for work. Some portion of employed workers' unemployment insurance fees could accumulate in